

Q.2a (20 marks): Two main schools in economic anthropology and fundamental differences

(Don't Write anything in this Area)

- (a) What are the two main schools in economic anthropology? What are the fundamental differences in their approach to the study of economic systems in simple societies? (20 marks)

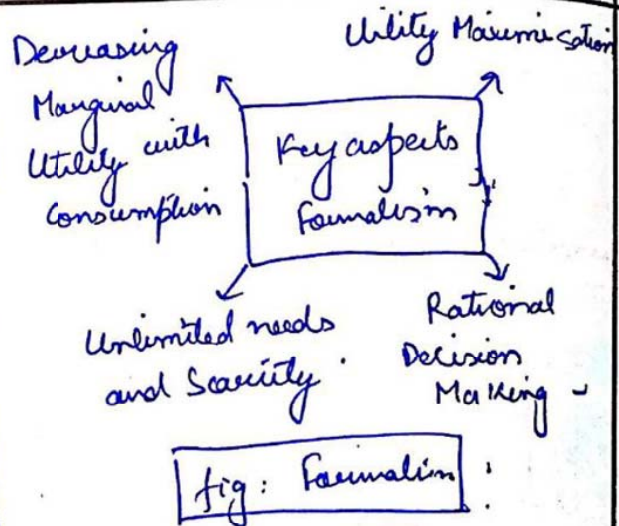
Formalism and Subsistence are the two main schools in economic Anthropology which seek to study economics of simple and complex societies.

Formalism

- M. Hertz and K. Schneider are main proponents of formalist school.
- Basic idea:
 - ① Laws of neoclassical economics can be universally applied to all i.e. simple as well as complex economies with some modifications.
 - ② When economic decisions are taken, they lie largely in economic spheres.

Criticism

- ① J. Prattis marked that universality of Utility Maximisation cannot be justified.



Substantivism

Proponents: Karl Polanyi, M. Sahlins, G. Dalton.

Basic Idea: - Karl Polanyi in 'Great Transformation (1944)' marks that the economic decisions in simple societies also considers themselves with social spheres and not solely economic spheres.

Key aspects

Embeddedness

- Economic decisions are embedded in social spheres.

Social Institutions

- Play an important role in economic decision making.

Criticism :- J.I. Potlitz and Plattner marked that a strict division between simple and complex economies is not possible in contemporary societies.

Fundamental differences in approach

① Decision Making

↳ Formalism : Proposes that this is largely effected by Utility Maximisation

↳ Substantivism : Proposes that this is effected by social institutions like Kinship, religion, etc.

② Universal applicability of laws

↳ Formalism : Supports universal application of neo-classical economics

↳ Substantivism : Proposes different application for simple and complex economies.

3) Embeddedness:

↳ Formalism :: does not propose embeddedness.

↳ Substantivism :: proposes embedded nature, culture, economy and social spheres are connected.

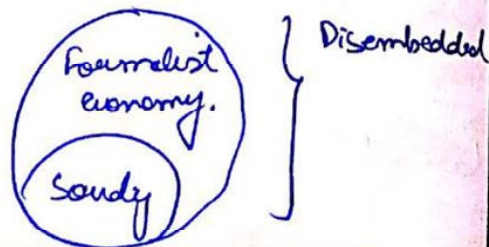
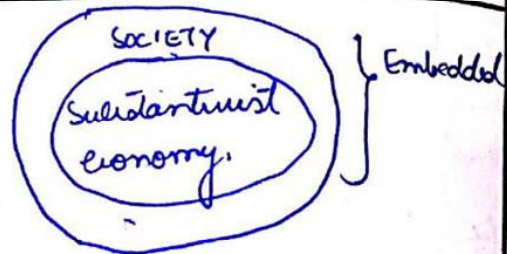


Fig: Embeddedness.

Example: B. Malinowski study on Kula ring exchange shows meaningful application of Substantivism.

→ Karel Polanyi himself remarked that due to globalisation, both the concepts are applicable in both simple and complex economies in fusion.

Marks:

Comment:

Intro:

Body:

Conclusion:

Total:

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